CHAPTER 37

PATHS OF ECONOMIC AND POLITICAL DEVELOPMENT

DARON ACEMOGLU
JAMES A. ROBINSON

1 Introduction

Over the last half millennium different societies have moved onto distinct paths of political and economic development. For example, beginning in the seventeeth century, Britain experienced a series of changes in political institutions which led to the emergence of a constitutional monarchy and a much greater stability of property rights. In consequence, the British economy began to develop rapidly and was at the forefront of the industrial revolution in the nineteenth century. As Britain grew rich it also became more democratic. Starting with the First Reform Law in 1832 and culminating with the Representation of the People Act in 1919, British political elites gradually created a fully democratic polity. In 2006 Britain was a rich democracy.

Other societies experienced dramatically different development paths over this period. In the late eighteenth century Haiti, then called Saint-Domingue, was a colony of France known as the "pearl of the Caribbean" which produced sugar cane with the help of an army of African slaves. At the time of the slave uprising in 1794 it was

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possibly the richest country in the world. However, during the following 200 years per capita income declined and the country experienced extensive political instability, social chaos, and civil wars interrupted only by the reign of unenlightened despots like the Duvaliers. In 2006 Haiti was a desperately poor non-democracy.

The huge variation we see in the world today in both economic and political outcomes is the result of long-run historical processes. To understand why Haiti is how it is today we need to understand how its history placed it on the particular development path that it did. Similarly with Britain. Though some countries do change their development path, for example Japan after the Meiji Restoration in 1868, Turkey after the First World War, Russia after the 1917 Revolution and again after 1989, the preponderance of evidence suggests that once a society gets onto a particular path it stays on it.

Within these different paths lie some of the most important questions in political science and economics. Why are some countries prosperous and others not? Why are some countries democratic and others not? In this chapter we first develop a simple theoretical framework for integrating the study of political and economic development. In Section 3 we apply this framework to develop a theory of the creation and consolidation of democracy. In Section 4 we discuss comparative statics, emphasizing how this framework implies that prosperity and democracy may covary in a rather specific way. Section 5 provides an in-depth case study to show our theory in action—the rise of prosperity and democracy in Britain. Section 6 concludes.

2 A Theoretical Framework

The basic argument of this chapter can be summarized as follows:

1. Economic institutions matter for economic growth because they shape the incentives of key actors in society. In particular, they influence investments in physical and human capital and technology, and the organization of production. Although cultural and geographical factors may also matter for economic performance, differences in economic institutions are the major source of cross-country differences in economic growth and prosperity.[1] Economic institutions not only determine the aggregate economic growth potential of the economy, but also how this pie is divided among different groups and individuals now and in the future. We summarize these ideas schematically as (where the subscript t refers to current period and $t+1$ to the future):

$$\text{economic institutions}_t \Rightarrow \begin{cases} \text{economic performance}_t \\ \text{distribution of resources}_{t+1} \end{cases}$$

[1] See Acemoglu, Johnson, and Robinson 2001, 2002.

2. Economic institutions are endogenous. They are determined as collective choices of the society, in large part for their economic consequences. However, there is no guarantee that all individuals and groups will prefer the same set of economic institutions because, as noted above, different economic institutions lead to different distributions of resources. Consequently, there will typically be a *conflict of interest* among various groups and individuals over the choice of economic institutions.
   So how are equilibrium economic institutions determined? If there are, for example, two groups with opposing preferences over the set of economic institutions, which group's preferences will prevail? The answer depends in part on the *political power* of the two groups. Although the efficiency of one set of economic institutions compared with another may play a role in this choice, political power will be the ultimate arbiter. Whichever group has more political power is likely to secure the set of economic institutions that it prefers. This leads to the second building block of our framework:

$$\text{political power}_t \Rightarrow \text{economic institutions}_t$$

3. Implicit in the notion that political power determines economic institutions is the idea that there are conflicting interests over the distribution of resources and therefore indirectly over the set of economic institutions. But why do the groups with conflicting interests not agree on the set of economic institutions that maximize aggregate growth (the size of the aggregate pie) and then use their political power simply to determine the distribution of the gains? Why does the exercise of political power lead to economic inefficiencies and even poverty? We argue that this is because there are commitment problems inherent in the use of political power. Individuals who have political power cannot commit not to use it in their best interests, and this commitment problem creates an inseparability between efficiency and distribution because credible compensating transfers and side payments cannot be made to offset the distributional consequences of any particular set of economic institutions (Weingast 1997; Acemoglu 2003*a*).
4. The distribution of political power in society is also endogenous, however. In our framework, it is useful to distinguish between two components of political power, which we refer to as *de jure (institutional)* and *de facto political power*. Here *de jure* political power refers to power that originates from the *political institutions* in society. Political institutions, similarly to economic institutions, determine the constraints on and the incentives of the key actors, but this time in the political sphere. Examples of political institutions include the form of government, for example, democracy vs. dictatorship or autocracy, and the extent of constraints on politicians and political elites. For example, in a monarchy, political institutions allocate all *de jure* political power to the monarch, and place few constraints on its exercise. A constitutional monarchy, in contrast, corresponds to a set of political institutions that reallocates some of the political power of the monarch to a parliament, thus effectively constraining the political

power of the monarch. This discussion therefore implies that:

$$\text{political institutions}_t \Rightarrow \textit{de jure} \text{ political power}_t$$

5. There is more to political power than political institutions, however. A group of individuals, even if they are not allocated power by political institutions, for example as specified in the constitution, may nonetheless possess political power. Namely, they can revolt, use arms, hire mercenaries, co-opt the military, or use economically costly but largely peaceful protests in order to impose their wishes on society. We refer to this type of political power as de facto political power, which itself has two sources. First, it depends on the ability of the group in question to solve its collective action problem, i.e. to ensure that people act together, even when any individual may have an incentive to free ride. For example, peasants in the Middle Ages, who were given no political power by the constitution, could sometimes solve the collective action problem and undertake a revolt against the authorities. Second, the de facto power of a group depends on its economic resources, which determine both their ability to use (or misuse) existing political institutions and also their option to use force against different groups. Since we do not yet have a satisfactory theory of when groups are able to solve their collective action problems, our focus will be on the second source of de facto political power, hence:

$$\text{distribution of resources}_t \Rightarrow \text{de facto political power}_t$$

6. This brings us to the evolution of one of the two main *state variables* in our framework, political institutions (the other state variable is the distribution of resources, including distribution of physical and human capital stocks, etc.). Political institutions and the distribution of resources are the state variables in this dynamic system because they typically change relatively slowly, and more importantly, they determine economic institutions and economic performance both directly and indirectly. Their direct effect is straightforward to understand. If political institutions place all political power in the hands of a single individual or a small group, economic institutions that provide protection of property rights and equal opportunity for the rest of the population are difficult to sustain. The indirect effect works through the channels discussed above: political institutions determine the distribution of *de jure* political power, which in turn affects the choice of economic institutions.

Political institutions, though slow changing, are also endogenous. Societies transition from dictatorship to democracy, and change their constitutions to modify the constraints on power-holders. Since, like economic institutions, political institutions are collective choices, the distribution of political power in society is the key determinant of their evolution. This creates a tendency for persistence: political institutions allocate *de jure* political power, and those who hold political power influence the evolution of political institutions, and they will generally opt to maintain the political institutions that give them political power. However, de facto political power

occasionally creates changes in political institutions. While these changes are sometimes discontinuous, for example when an imbalance of power leads to a revolution or the threat of revolution leads to major reforms in political institutions, often they simply influence the way existing political institutions function, for example whether the rules laid down in a particular constitution are respected as in most functioning democracies, or ignored as in current-day Zimbabwe. Summarizing this discussion, we have:

$$\text{political power}_t \Longrightarrow \text{political institutions}_{t+1}$$

Putting all these pieces together, a schematic (and simplistic) representation of our framework is as follows:

$$\left.\begin{array}{r} \text{political} \\ \text{institutions}_t \end{array}\right\} \Longrightarrow \left\{\begin{array}{c} \textit{de jure} \\ \text{political} \\ \text{power}_t \\ \& \\ \text{de facto} \\ \text{political} \\ \text{power}_t \end{array}\right\} \Longrightarrow \left\{\begin{array}{c} \text{economic} \\ \text{institutions}_t \end{array}\right\} \Longrightarrow \left\{\begin{array}{c} \text{economic} \\ \text{performance}_t \\ \& \\ \text{distribution} \\ \text{of resources}_{t+1} \end{array}\right.$$

$$\left.\begin{array}{r} \text{distribution} \\ \text{of resources}_t \end{array}\right\} \Longrightarrow \left\{\begin{array}{c} \text{de facto} \\ \text{political} \\ \text{power}_t \end{array}\right\} \Longrightarrow \left\{\begin{array}{c} \text{political} \\ \text{institutions}_{t+1} \end{array}\right.$$

The two state variables are political institutions and the distribution of resources, and the knowledge of these two variables at time t is sufficient to determine all the other variables in the system. While political institutions determine the distribution of *de jure* political power in society, the distribution of resources influences the distribution of de facto political power at time t. These two sources of political power, in turn, affect the choice of economic institutions and influence the future evolution of political institutions. Economic institutions determine economic outcomes, including the aggregate growth rate of the economy and the distribution of resources at time $t + 1$. Although economic institutions are the essential factor shaping economic outcomes, they are themselves endogenous and determined by political institutions and the distribution of resources in society.

There are two sources of persistence in the behavior of the system: first, political institutions are durable, and typically, a large change in the distribution of political power is necessary to cause a change in political institutions, such as a transition from dictatorship to democracy. Second, when a particular group is rich relative to others, this will increase its de facto political power and enable it to push for economic and political institutions favorable to its interests. This will tend to reproduce the initial relative wealth disparity in the future. Despite these tendencies for persistence, the framework also emphasizes the potential for change. In particular, "shocks," including changes in technologies and the international environment, that modify the balance of (de facto) political power in society can lead to major changes in political institutions and therefore in economic institutions and economic growth.

It is worth returning at this point to two critical assumptions in our framework. First, why do the groups with conflicting interests not agree on the set of economic institutions that maximize aggregate growth? So, for example, in the case of the

conflict between President Robert Mugabe and the white farmers in Zimbabawe, why does Mugabe not set up secure property rights to encourage economic growth and tax some of the benefits? Second, why do groups with political power want to change political institutions in their favor? The answers to both questions revolve around issues of *commitment* and go to the heart of our framework.

The distribution of resources in society is an inherently conflictual, and therefore political, decision. As mentioned above, this leads to major commitment problems, since groups with political power cannot commit to not use their power to change the distribution of resources in their favor. For example, economic institutions that increased the security of property rights for land and capital owners during the Middle Ages would not have been credible as long as the monarch monopolized political power. He could promise to respect property rights, but then at some point renege on his promise, as exemplified by the numerous financial defaults by medieval kings (e.g. Veitch 1986). Credible secure property rights necessitated a reduction in the political power of the monarch. Although these more secure property rights would foster economic growth, they were not appealing to the monarchs who would lose their rents from predation and expropriation as well as various other privileges associated with their monopoly of political power. This is why the institutional changes in England as a result of the Glorious Revolution of 1688 were not simply conceded by the Stuart kings. James II had to be deposed for the changes to take place (North and Weingast 1989; Acemoglu, Johnson, and Robinson 2005).

The reason why political power is often used to change political institutions is related. In a dynamic world, individuals care not only about economic outcomes today but also in the future. In the example above, private citizens such as merchants who were threatened by the predation of the king were interested in their profits and therefore in the security of their property rights, not only in the present but also in the future. During the late sixteenth and early seventeenth centuries, various factors changed the balance of de facto power in Britain (see Section 4), strengthening the hand of those opposed to the king and in favor of different economic institutions. These groups, primarily merchants and capitalist farmers, would have liked to use their (de facto) political power to secure benefits in the future as well as the present. However, commitment to future allocations (or economic institutions) was not possible because decisions in the future would be decided by those who had political power in the future with little reference to past promises. If the merchants had been sure of maintaining their de facto political power, this would not have been a problem. However, de facto political power is often transient, for example because the collective action problems that are solved to amass this power are likely to resurface in the future, or other groups, especially those controlling *de jure* power, can become stronger in the future. Therefore, any change in policies and economic institutions that relies purely on de facto political power is likely to be reversed in the future. Using political power to change political institutions then emerges as a useful strategy to make gains more durable. The framework that we propose, therefore, emphasizes the importance of political institutions, and changes in political institutions, as a way

of manipulating future political power, and thus indirectly shaping future, as well as present, economic institutions and outcomes.

We now show how, following Acemoglu and Robinson (2000, 2001, 2005), this general framework can provide a theory of the origins of democracy.

3 A Theory of Democracy

Democracy is a particular set of political institutions. Relative to some type of non-democratic regime the key aspect of democracy is that it is a situation of *relative political equality*.[2] In a non-democracy some non-representative elite dominates the political institutions and this elite will use their power to make collective choices and economic institutions that benefit them. This elite is different in different countries. For example, in present-day China it is the Chinese Communist Party. In Burundi it is the Tutsi-dominated military. In nineteenth-century Britain it was the rich and landed aristocracy. In a non-democracy the preferences of most people are not taken into account in collective decision-making except to the extent that the disenfranchised can exercise de facto power.

We can now consider how the framework we developed in the last section can be applied more specifically to think about the origins of democracy. Consider the simplest dynamic world we can imagine: there is a "today" and a "tomorrow," and the elite, who control non-democracy, and the citizens care about both policies and economic institutions today and tomorrow. Suppose we are in a non-democratic society, which generally looks after the interests of the elite, and the citizens have de facto political power today. By this we mean that the disenfranchised have solved the collective action problem and can threaten to impose costs on the elite and in the limit depose it in a revolution. However, though the disenfranchised have de facto power today they are unsure whether they will have the same political power tomorrow. Given that we are in a non-democratic society, tomorrow the citizens may no longer have the same political power. Can they ensure the implementation of the policies and economic institutions they like both today and tomorrow?

Imagine now that the citizens do not simply use their de facto political power today to obtain what they like now, but they also use it to change the political system from non-democracy to democracy. If they do so, they will have effectively increased their *de jure* political power in the future. Instead of non-democracy, we are now in a democratic regime where there will be voting by all. With their increased *de jure* political power, the citizens are therefore more likely to secure the economic institutions and policies they like tomorrow as well.

[2] We do not distinguish between different non-democratic regimes (see Linz and Stepan 1996 for a typology). The nature of a non-democratic regime may be important for specific comparative static results but it does not alter the basic mechanisms that lead to the creation or consolidation of democracy (see Acemoglu and Robinson 2005, ch. 4).

In this account transitions to democracy, or more generally a change in political institutions, emerges as a way of regulating the future allocation of political power. The citizens demand democracy so that they can have more political say and political power tomorrow. Note here the importance of *the transitory nature of de facto political power*. The citizens are presumed to have political power today, but are uncertain about whether they will have similar power tomorrow. The balance between the elite and the citizens fluctuates. This is reasonable in the dynamic and uncertain world we live in. A real threat from the citizens requires the juxtaposition of many unlikely factors: the masses need to solve the collective action problem necessary to organize themselves, they need to find the momentum to turn their organization into an effective force against the regime, and the elite, who are controlling the state apparatus, should be unable to use the military to suppress the uprising effectively. It is therefore very reasonable that such a challenge against the system would be only transitory: in non-democracy, if the citizens have political power today, they most likely will not have it tomorrow.

It is precisely the transitory nature of political power, that citizens have it today and may not have it tomorrow, that creates a demand for a change in political institutions. The citizens would like to lock in the political power they have today by changing political institutions, specifically by introducing democracy and greater representation for themselves, because without the institutional changes their power today is unlikely to persist.

Transitions to democracy take place when the elite controlling the existing regime change political institutions and extend voting rights. Why would they do so? After all, the transfer of political power to the majority may lead to social choices that the elite don't like. Faced with the exercise of de facto power and perhaps the threat of disorder and even a revolution, wouldn't the elite like to try other types of concessions, even giving the citizens the policies they want, rather than give away their power? Alternatively, why doesn't the elite simply use the military to repress the citizens?

The first option for the elite is to give them what they want today: adopt economic institutions or policies favorable to the majority. But suppose that concessions today are not sufficient to dissuade the citizens from revolution. What can the elite do to prevent an imminent and, for themselves, extremely costly revolution? They can of course promise the same thing tomorrow. And yet these promises may not be *credible*. Changing economic institutions or altering policies in the direction preferred by the citizens is not in the immediate interest of the elite. Today they are doing so to prevent a revolution. Tomorrow, the threat of revolution may be gone, so why should they keep their promises? If such promises are non-credible, then they are worth little. To prevent a revolution the elite have to make a credible commitment to future pro-majority policies and economic institutions. A credible promise means that the decision should not be theirs, but placed in the hands of groups that actually prefer such institutions. Or in other words, they have to transfer political power to the citizens. That is precisely what a transition to democracy does: it shifts future political power away from the elite to the citizens, thereby creating *a credible commitment to future pro-majority policies and institutions*.

The second option for the elite is to use force and repression. For example, the white South African regime rejected calls for democracy and kept itself in power for decades by using the military to repress demonstrations and opposition. Similarly Argentine military regimes of the 1960s and 1970s killed thousands of people to avoid reintroducing democracy and this has been a pattern in many other Latin American countries, for example Guatemala and El Salvador. In Asia, non-democratic regimes in China and Burma have used force to block demands for democracy, and this was also true in eastern European countries during the dominance of the Soviet Union, for example in Hungary in 1956 and Czechoslovakia in 1968. Repression is attractive for elites since it allows them to maintain power without having to make any type of concessions to the disenfranchised. Nevertheless, repression is both costly and risky for elites. It leads to the loss of life and the destruction of assets and wealth and, depending on the international climate of opinion, it may lead to sanctions and international isolation, as happened in South Africa during the 1980s. In a related discussion Dahl (1971, 79) notes the "enormous limitations, costs and inefficiencies of violence, coercion and compulsion in managing an advanced society where incentives and complex behavior are needed that cannot be manipulated by threats of violence." Moreover, repression may fail which could cause a revolution, the worst possible outcome for the elite. Finally, to use repression the elite has to have a strong military, but such a military is itself a threat to elites (Finer 1976).

These considerations imply that only in certain circumstances will repression be attractive. When we incorporate this into the analysis we shall see that democracy arises when concessions are not credible and repression is not attractive because it is too costly.

A theory of democratization is of course not sufficient to understand why some countries are democratic while some others are ruled by dictatorships. Many countries become democratic, but eventually revert back to a non-democratic regime as a result of a military coup. This has been an especially common pattern in Latin America. Why has democracy been so hard to consolidate in much of Latin America? To answer this question, we need to develop a theory of coups, or alternatively a theory of democratic consolidation.

A democracy is consolidated if the set of institutions which characterize it endure through time. Our theory of democratic consolidation and coups builds on the different attitudes of the elite and the citizens towards democracy. Once again, the citizens are more pro-democratic than the elite (because democracy is more pro-citizen than non-democracy). Consequently, when there is a situation with the military on the side of the elite and sufficient turbulence to allow a military takeover, the elite might support or sponsor a coup to change the balance of power in society.

The reason that the elite might want to change political institutions, from democracy to non-democracy, is similar to why the citizens want democratization. What the elite care about is to change institutions in their favor. Political turbulence and the alignment between their interests and those of the military might give them a window of opportunity for doing so. But there is again the issue of the transitory nature of de facto political power. They may have this opportunity today, but not necessarily

tomorrow. Any promise by the citizens to make policies less anti-elite in the future is not necessarily credible within the context of democratic politics. Tomorrow, the threat of a coup may be gone, and democratic politics may again cater to the needs of the majority, who will choose the policies they prefer without worrying about the elite undermining their power via a coup. But this is precisely what made democracy so costly for the elite in the first place. To change economic institutions and policies in a credible way the elite need political power. A coup is their way of increasing their *de jure* political power so that they can pursue the policies they like. In other words, a coup enables the elite to turn their transitory de facto political power into more enduring *de jure* political power by changing political institutions.

4 Comparative Statics

The framework of Section 2, though abstract and highly simplified, enables us to provide some preliminary answers to two central questions: why do some societies choose "good economic institutions" and become prosperous; and why do some societies become democracies? We think of good economic institutions as those that provide security of property rights and relatively equal access to economic resources to a broad cross-section of society. Although this definition is far from requiring equality of opportunity, it implies that societies where only a very small fraction of the population have well-enforced property rights do not have good economic institutions.

Given this definition of good economic institutions our framework leads to a number of important comparative statics which predict when they might arise. First, political institutions that place checks on those who hold political power, for example, by creating a balance of power in society, are useful for the emergence of good economic institutions. This result is intuitive; without checks on political power, power-holders are more likely to opt for a set of economic institutions that are beneficial for themselves and detrimental for the rest of society, which will typically fail to protect the property rights of a broad cross-section of people.

Second, good economic institutions are more likely to arise when political power is in the hands of a relatively broad group with significant investment opportunities. The reason for this result is that, everything else equal, in this case power-holders will themselves benefit from secure property rights.[3]

Third, good economic institutions are more likely to arise and persist when there are only limited rents that power-holders can extract from the rest of society, since such rents would encourage them to opt for a set of economic institutions that make the expropriation of others possible. This comparative static suggests that the

[3] The reason why we inserted the caveat of "a relatively broad group" is that when a small group with significant investment opportunities holds power, they may sometimes opt for an oligarchic system where their own property rights are protected, but those of others are not (see Acemoglu 2003*b*)

structure of the economy may be important for good economic institutions. For instance, if coercive labor market institutions, such as slavery, are more feasible in agriculture than industry (see Fogel 1989; Eltis 2000) then an agrarian economy may have worse economic institutions. This may happen because human capital is less valuable in agriculture, or because unobservable effort is much more important in industry. Factor endowments such as the presence of oil and other natural resources may also be important in promoting bad economic institutions since they generate large rents without necessitating the development of good economic institutions (an argument frequently made in the context of Africa, e.g. Leonard and Strauss 2003). They therefore reduce the opportunity cost of extractive institutions.

These comparative statics emphasize political institutions. Political institutions are essential both because they determine the constraints on the use of (de facto and *de jure*) political power, and also because they determine which groups hold *de jure* political power in society. These factors may all influence the costs and benefits of good economic institutions. We emphasize however that, since institutions tend to persist over time, large changes in institutions are rather rare events and only happen at important "critical junctures." Nevertheless, all of the above factors may be important in maintaining and even occasionally, in the right circumstances, creating good or bad economic institutions.

What can these comparative statics tell us about whether or not a society is likely to be democratic? The most fundamental link stems from the fact that in moving from a non-democracy to a democracy one moves towards greater political equality. Bad economic institutions typically arise because they happen to concentrate resources in the hands of some politically powerful group. For instance, equality before the law may be critical for guaranteeing the property rights of all agents in society and thus allowing people with good ideas or opportunities to invest. Nevertheless, general equality before the law also makes it more difficult for groups in control of society to get what they want. A movement from non-democracy to democracy changes the balance of political power away from narrow elites and in the direction of the majority of the population. Such a change in the balance of power will tend to undermine the economic institutions favored by non-democratic elites. There is thus a complementarity between good economic institutions and democracy. Our framework therefore implies that the circumstances that give rise to good economic institutions will also tend to give rise to democracy. Democracy is therefore likely to emerge in the same circumstances as good economic institutions arise so that the comparative statics derived above with respect to good economic institutions ought to tell us something about when democracy is created and consolidated.

First, we would expect a society to be democratic when there are checks on the use of political power or a balance of political power in society. Democracy is itself a political institution which produces a balance of political power relative to non-democracy, but in the absence of democracy power can nevertheless be relatively balanced. The United States was not a democracy when it adopted its constitution in the late eighteenth century, but the checks and balances built into this document

helped to facilitate subsequent democratization by guaranteeing that political elites were relatively unthreatened by democracy.

Many factors can also lead to a balance of de facto power. For instance, a high degree of equality in the distribution of economic resources may lead de facto power to be balanced. Equally all groups may be well organized and able to solve the collective action problem. Alternatively, the relevant political institutions may not just be formal institutions such as the nature of the constitution or who has voting rights. There may also be important "informal" political institutions which help to regulate the allocation of power (which is one interpretation of the work of Putnam 1993). Checks on the use of power make it likely that elites benefit less from non-democracy while at the same time, by reducing what the majority can do, they make democracy less threatening to non-democratic elites. Both factors promote democracy. A balance in the distribution of de facto power also makes it more costly or difficult for elites to avoid democratizing by using repression or overthrowing democracy subsequently by mounting coups.

Second, democracy will be facilitated when a broad group in society has good investment opportunities. In this case, democracy, since it gives political power to relatively numerous groups, will be complementary to good economic performance since it will enfranchise exactly those people with a vested interest in good economic institutions.

Third, democracy will tend to arise when factor endowments and the structure of the economy are such that there are only limited rents to be extracted with bad economic institutions. For example, an elite which dominates an agrarian society will be in a very different position from one which holds physical capital and where the disenfranchised have human capital which is complementary to the capital of the elites (a connection clearly seen by Moore 1966). This is for several reasons. First, as we discussed before, bad economic institutions such as slavery may be much more attractive in an agrarian society. Second, repression and coups are likely to be much more costly in a society dominated by physical and human capital and this tilts the balance of de facto power towards the disenfranchised, thus promoting democracy. Third, land is much easier to tax or redistribute than capital and thus in a society dominated by land, the preferences of the elite and the disenfranchised over economic institutions may be very different. This makes democracy potentially very bad for landowning elites and thus leads them to oppose it strenuously. Finally, economies dominated by natural resources, such as oil, create large rents from monopolizing political power which make elites reluctant to surrender it to democrats. The presence of such rents may therefore make repression and coups more attractive (Ross 2001).

Our framework suggests that the level of per capita income, its rate of growth, and the extent of democracy are jointly determined as part of a political economic equilibrium. Existing empirical studies have not attempted to take into account this joint endogeneity and thus can say little about whether democracy causes prosperity or vice versa, though they do of course establish some important partial correlations and robust facts to be explained. Our framework does suggest that because democracy, other things equal, redistributes political power to the mass of people

with an interest in broad-based property rights, it ought to be good for prosperity. However, there are no unambiguous implications for the impact of income per capita or economic growth on democracy. Indeed, Acemoglu et al. (2005) show that once the historical determinants of the development path are properly controlled for, income per capita has no causal effect on democracy, a finding which suggests that while there is a correlation between income and democracy, as noted by Lipset (1959), there is no causal relationship running from income to democracy.

5 The Theory in Action: How Britain Became Rich and Democratic

5.1 Narrative

We now illustrate our framework in action with an example, based on Acemoglu and Robinson (2000, 2001, 2005): the economic growth and the rise of mass democracy in Britain. In 1500 Britain (or the countries which subsequently came to constitute Britain) was a relatively backward society. In terms of per capita income northern Italy and the Low Countries were significantly more prosperous (Maddison 2001, table B-21) and Britain, which had only recently emerged from a devastating civil war (the "War of the Roses"), was ruled by an absolutist monarchy. Yet by the early nineteenth century Britain had become the richest nation in the world and remained so for most of the century. At the same time, after 1832 a series of Reform Acts were passed which eventually culminated in democracy. What drove these processes and how were they interrelated?

The origins of British economic supremacy stem from a series of institutional changes which took place from the middle of the seventeenth century onwards (see North and Thomas 1973; North and Weingast 1989; O'Brien 1993; Acemoglu, Johnson, and Robinson 2005). These changes emerged out of the Civil War of 1642–51 and Glorious Revolution of 1688 and led to a dramatic change in the political institutions. Conflict between the Stuart monarchs intent on maintaining and expanding their absolutist powers, and a Parliament intent on reigning them in, ended with parliamentary victories. The outcome was a restructuring of political institutions that severely limited the monarchy's power and correspondingly increased that of Parliament. The change in political institutions led to much greater security of property rights, since people no longer feared predation by the state. In particular it placed power into the hands of a Parliament in which were represented merchants and landowners oriented towards sale for the market. This basic change also had many spin-offs which were crucial for economic expansion, particularly the expansion of financial markets (North and Weingast 1989).

By the late eighteenth century sustained economic growth had begun in Britain. Yet the political system which emerged from the Glorious Revolution was not

a democracy. While there were regular parliaments, the franchise was severely restricted, both by feudal notions of status, and also by property requirements (O'Gorman 1997). There was also widespread electoral corruption in the absence of a secret ballot and many elections were unopposed.

The first important move towards democracy in Britain came with the First Reform Act of 1832. This Act removed many of the worst inequities under the old electoral system, in particular the "rotten boroughs" where several Members of Parliament were elected by very few voters. The 1832 reform also established the right to vote based uniformly on the basis of property and income and was passed in the context of rising popular discontent at the existing political status quo in Britain.

By the 1820s the industrial revolution was well under way and the decade prior to 1832 saw continual rioting and popular unrest. Notable were the Luddite Riots of 1811–16, the Spa Fields Riots of 1816, the Peterloo Massacre in 1819, and the Swing Riots of 1830 (see Stevenson 1979). Another catalyst for the reforms was the July Revolution of 1830 in Paris. Much of this was led and orchestrated by the new middle-class groups who were being created by the spread of industry and the rapid expansion of the British economy. For example, under the pre-1832 system neither Manchester nor Sheffield had any members in the House of Commons.

There is little dissent amongst historians that the motive for the 1832 Reform was to avoid social disturbances (e.g. Lang 1999, 36). In presenting his electoral reform to the British Parliament in 1831, Prime Minister Earl Grey was well aware that this was a measure necessary to prevent a likely revolution. He argued: "The Principal of my reform is to prevent the necessity for revolution . . . reforming to preserve and not to overthrow" (quoted in Evans 1983, 212).

The 1832 Reform Act increased the total electorate from 492,700 to 806,000, which represented about 14.5 per cent of the adult male population. Yet, the majority of British people still could not vote. There is also evidence of continued corruption and intimidation of voters until the Ballot Act of 1872 and the Corrupt and Illegal Practices Act of 1883. The Reform Act therefore did not create mass democracy, but rather was designed as a strategic concession.

Unsurprisingly therefore, the issue of parliamentary reform was still very much alive after 1832. But as Lee (1994, 137) notes, "The House of Commons was largely hostile to reform because, at this stage, it saw no need for it." This had changed by 1867, largely due to a juxtaposition of factors, including the sharp business cycle downturn that caused significant economic hardship and the increased threat of violence. Also significant was the founding of the National Reform Union in 1864 and the Reform League in 1865, and the Hyde Park riots of July 1866 provided the most immediate catalyst.

Lang (1999, 75) sums up his discussion by saying, "The Hyde Park affair, coupled with other violent outbursts, helped to underscore the idea that it would be better to keep the goodwill of the respectable workers than to alienate them." Reform was initially proposed by the Liberal Prime Minister Russell in 1866 but was defeated by the Conservatives and dissident MPs. As a result Russell's government fell, and the Conservatives formed a minority administration with Lord Derby as their leader in

the House of Lords, and Disraeli in charge of the House of Commons. It was Disraeli who then constructed a coalition to pass the Second Reform Act in 1867.

As a result of these reforms, the total electorate was expanded from 1.36 million to 2.48 million, and working-class voters became the majority in all urban constituencies. The electorate was doubled again by the Third Reform Act of 1884, which extended the same voting regulations that already existed in the boroughs (urban constituencies) to the counties (electoral constituencies in the rural areas). The Redistribution Act of 1885 removed many remaining inequalities in the distribution of seats and after 1884 about 60 per cent of adult males were enfranchised. Once again social disorder appears to have been an important factor behind the 1884 act.

In Britain, the Reform Acts of 1867–84 were a turning point in the history of the British state. Economic institutions also began to change. In 1871 Gladstone reformed the civil service, opening it to public examination, making it meritocratic. Liberal and Conservative governments introduced a considerable amount of labor market legislation, fundamentally changing the nature of industrial relations in favor of workers. During 1906–14, the Liberal Party, under the leadership of Asquith and Lloyd George, introduced the modern redistributive state into Britain, including health and unemployment insurance, government-financed pensions, minimum wages, and a commitment to redistributive taxation. As a result of the fiscal changes, taxes as a proportion of national product more than doubled in the thirty years following 1870, and then doubled again. In the mean time, the progressivity of the tax system also increased (Lindert 2004). Finally, there is also a consensus amongst economic historians that inequality in Britain fell after the 1870s (see Lindert 2000, 2004).

Meanwhile, the education system, which was either primarily for the elite or run by religious denominations during most of the nineteenth century, was opened up to the masses; the Education Act of 1870 committed the government to the systematic provision of universal education for the first time, and this was made free in 1891. The school leaving age was set at eleven in 1893, then in 1899 it increased to twelve and special provisions for the children of needy families were introduced (Mitch 1993). As a result of these changes, the proportion of ten-year-olds enrolled in school that stood at 40 per cent in 1870 increased to 100 per cent in 1900 (Ringer 1979, 207). Finally, a further Act in 1902 led to a large expansion in the resources for schools and introduced the grammar schools which subsequently became the foundation of secondary education in Britain.

Following the Great War, the Representation of the People Act of 1918 gave the vote to all adult males over the age of twenty-one, and women received the vote on the same terms as men in 1928. The measures of 1918 were negotiated during the war and may reflect to some extent a quid pro quo between the government and the working classes who were needed to fight and produce munitions. Nevertheless, Garrard (2002, 69) notes, "most assumed that, if the system was to survive and 'contentment and stability prevail', universal citizenship could not be denied men, perceived to have suffered so much and to have noticed Russia's Revolution."

5.2 Interpretation

Overall, the picture which emerges from British economic and political history is clear. In the seventeenth century a series of political conflicts were won by those interested in introducing political institutions which limited the *de jure* power of the monarchy. This change in political institutions greatly improved economic institutions. By reducing the risk of state predation, property rights became more stable which encouraged investment. Also *de jure* political power in the new system was in the hands of men with commercial and capitalistic interests and this led to large induced changes in economic institutions, for instance in capital and financial markets, that were important for further economic expansion.

The reason that these institutional changes arose in Britain (and not, say, in France or Spain) appears to be twofold. First, at the start of the early modern period Britain had political institutions which limited the powers of the monarchs more than in other places (Ertman 1997). Why this was so seems to be the outcome of a complex historical process of the building of dynasties and invasions. Second, various significant changes took place in the structure of the economy which greatly strengthened the interest of various groups, particularly capitalistic farmers (the so-called "gentry") and merchants, in different economic institutions. Also significant was the early collapse of feudal institutions in Britain (Brenner 1976). These same changes also increased the de facto power of these same interests which critically influenced the outcome of the Civil War and Glorious Revolution (Tawney 1941; Brenner 1993; Acemoglu, Johnson, and Robinson 2005).

The outcome of the seventeenth-century conflicts in Britain was a set of economic institutions which gave property rights to a broad set of people (see Thompson 1975). The result was the ending of the Malthusian cycle and the beginning of modern economic growth. Yet the structural changes that in consequence began, for instance urbanization and the rise of the factory system, had further implications for the distribution of de facto political power. In particular they began to make the exercise of de facto power by the poor and politically disenfranchised much easier (Tilly 1995 and Tarrow 1998 document the changing qualitative nature of collective action over this period). The rise in the de facto political power of the poor necessitated a change in political institutions in their favor to defuse the threat of revolution. In consequence, the future allocation of *de jure* political power was tilted in favor of the citizens making more likely economic institutions and policies consistent with their interests. This is exactly what the process of democratization did.

Beginning in 1832, the British political elite made a series of strategic concessions aimed at incorporating the previously disenfranchised into politics since the alternative was seen to be social unrest, chaos, and possibly revolution. The concessions were gradual because in 1832, social peace could be purchased by buying off the middle classes, and even in 1867 the government could get away with making fewer concessions than those demanded by organizations such as the Reform League. Moreover, although challenged during the 1832 reforms, the House of Lords provided an important bulwark for the wealthy against the potential of radical reforms emanating

from a democratized House of Commons. Later, as the working classes reorganized, further concessions had to be made. The Great War and the fallout from it sealed the final offer of full democracy. Though the pressure of the disenfranchised played less of a role in some reforms than others, and other factors, such as strategic calculations about electoral advantage, were possibly important, the threat of social disorder was the main driving force behind the creation of democracy in Britain.

Why did elites in Britain create a democracy? Our discussion makes it clear that democracy did not emerge from the voluntary acts of an enlightened elite. Democracy was, in many ways, forced on the elite, because of the threat of social disorder and revolution. Nevertheless, democratization was not the only potential outcome in the face of pressure from the disenfranchised, or even in the face of the threat of revolution. Many other countries faced the same pressures and political elites decided to repress the disenfranchised rather than make concessions to them. This happened with regularity in Europe in the nineteenth century, though by the turn of the twentieth century most had accepted that democracy was inevitable. Repression lasted much longer as the favorite response of elites in Latin America, and it is still the preferred option for current political elites in China and Burma.

The problem with repression is that it is costly. Confronted with demands for democracy political elites face a trade-off. If they grant democracy, then they lose power over policy and face the prospect of, possibly radical, redistribution. On the other hand, repression risks destroying assets and wealth. In the urbanized environment of nineteenth-century Europe (Britain was 70 per cent urbanized at the time of the Second Reform Act), the disenfranchised masses were relatively well organized and therefore difficult to repress. Moreover, industrialization had led to an economy based on physical, and increasing human, capital. Such assets are easily destroyed by repression and conflict, making repression an increasingly costly option for elites. In contrast, in predominantly agrarian societies like many parts of Latin America earlier in the century or current-day Burma, physical and human capital are relatively unimportant and repression is easier and cheaper. Moreover, not only is repression cheaper in such environments, democracy is potentially much worse for the elites because of the prospect of radical land reform. Since physical capital is much more costly to redistribute, elites in Britain found the prospect of democracy much less threatening.

Repression is attractive not just when it is relatively cheap, but also when there is a lot at stake. Our discussion suggests that the very changes in economic and political institutions that allowed sustained economic growth to emerge also ameliorated the threat of democracy to British elites. Democracy did bring changes in economic institutions away from those preferred by the elite. In the nineteenth century, economic institutions, particularly in the labor market, disadvantaged the poor. For example, trade unions were illegal and as late as 1850 in Britain workers trying to organize a trade union could be shipped to the penal colony in Tasmania, Australia. As we noted above, this and many other things changed, particularly after 1867 when economic institutions were altered to cater to the demands of the newly enfranchised. Though these changes were significant, they represent much smaller changes in economic

institutions than those faced by Russia or Austria-Hungary in the nineteenth century, or Guatemala and El Salvador in the twentieth.

Faced with the threat of revolt and social chaos, political elites may also attempt to avoid giving away their political power by making concessions, such as income redistribution or introducing other pro-poor policies or institutions. The problem with concessions however is their credibility. We argued that the extent of credibility is intimately linked to the persistence of collective action and de facto power. The promise of concessions which people know to be non-credible is unlikely to defuse collective action. Hence, Acemoglu and Robinson (2000, 2001, 2005) argue that democratization occurs as a way of making credible commitments to the disenfranchised. Democratization is a relatively credible commitment to future pro-majoritarian institutions and policies because it reallocates *de jure* political power away from the elites to the mass of citizens. In a democracy, the poorer segments of society are relatively more powerful and can use their *de jure* political power to implement economic institutions and policies consistent with their interests. Therefore, democratization is a way of transforming the transitory de facto power of the disenfranchised poor into more durable *de jure* political power.

Our rendering of British political and economic history illustrates the dynamic framework of Section 2. We see the interplay of *de jure* and de facto political power. We see how economic and social changes alter the underlying balance of de facto power leading to changes in *de jure* power and economic institutions and how the processes set in motion in the early modern period moved Britain onto a virtuous circle of prosperity and democracy. Obviously other paths are possible, including those where an elite persists, where it sets economic institutions and policies to enrich itself at the expense of society, and where poverty and dictatorship persist. Such has been the lot of Haiti since independence.

6 Conclusion

In this chapter we have developed a framework for thinking about the determinants of prosperity and democracy. Our approach emphasizes that economic institutions are the primary determinant of prosperity, but that what economic institutions arise in equilibrium depends on the distribution of political power. A key determinant of political power is the political institutions, with democracy being one important subset of such institutions. Economic institutions which promote prosperity are those that provide incentives for the broad mass of society, and such institutions may be associated with democratic political institutions since democracy, relative to various types of non-democracy, tends to give political power to the broad mass of people. This framework then suggests that prosperity and democracy may indeed be related, as Lipset (1959) first systematically documented. Nevertheless, this does not mean that income causes democracy, nor that democracy causes a society to be prosperous.

Though democracy does play a role in allocating political power and thus sustaining certain sets of economic institutions, we stressed that of more importance is the historically determined underlying structure of political and economic institutions.

In essence, the extent of prosperity and democracy in a society is determined by its institutional organization, and different societies get on different paths of economic and political development as a consequence of historical shocks or critical junctures. Acemoglu, Johnson, and Robinson (2001, 2002) emphasize that European colonialism was one such juncture with particularly large and persistent effects on economic and political institutions. Nevertheless, there are many other such junctures in history.

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